from the business amounted to wages. Initial estimates in March and April suggested that over 10 crore MSME workers lost their jobs and wages. Job surveys by the Centre for Monitoring Indian Economy (CMIE) confirmed that more than 13 crore jobs were lost in the month of April.

MSMEs produce about 30 per cent of GVA. However, the losses suffered by MSMEs are much greater than the losses suffered by either farmers, larger industries or larger service-providing organizations. MSMEs suffered 50 per cent of the overall contraction suffered by India in 2020–21. As India's economy contracted by nearly 8 per cent in 2020–21, 4 per cent of overall contraction would be only for the MSMEs. 4 per cent of Rs 200 lakh crore GDP of India means Rs 8 lakh crore. MSMEs together suffered losses of at least Rs 8 lakh crore of GVA in 2020–21.

MSMEs have a larger share of wages in GVA. For micro-enterprises, share of wages in value added is in the range of 75–90 per cent. On average, if we take the share of wages to be about 80 per cent of MSMEs' GVA, this meant that the MSME workers who lost their jobs would have suffered a wage loss of about Rs 6 lakh crore in 2020–21.

A Missed Survival Package for MSMEs

The right stimulus for MSMEs could have been for the government to extend grant support for their lost wages and committed expenditures. Additionally, it could have used the opportunity to place the entire ecosystem at ease of doing business for MSMEs on a stronger footing. Unfortunately, it did not offer any direct package of support, nor did it create a strong, facilitative and supportive business ecosystem for MSMEs.

The government should have offered a grant-financed financial relief package to MSMEs, including compensation for two elements of losses and cost suffered during the lockdown: a normative payment to cover at least 50 per cent of the lost earnings/wages of MSME owners/workers and some relief to cover fixed and unavoidable costs like rent, instalment payment of